



## CHAPTER 9.

An Act to provide for establishing a board to perform certain services for the benefit of the cotton industry and certain other functions, for the making of payments by cotton spinners to meet the expenses of the board and to provide their contribution to the Empire Cotton Growing Corporation, and for purposes connected with the matters aforesaid. [14th March 1940.]

**B**E it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

- 1.—(1) A board, to be called the Cotton Board, shall be established for the purpose of—
- (a) performing, with a view generally to the benefit of the industry and in particular to the maintenance and extension of export trade therein, such services as are mentioned in the next succeeding section; and
- (b) advising on questions relating to the industry which may be referred to them by any Government Department.

Establishment and functions of Cotton Board.

(2) The members of the Cotton Board shall be appointed by the Board of Trade in accordance with the Schedule to this Act, and the provisions of that Schedule

shall have effect with respect to the constitution and procedure of the Cotton Board.

Services  
which may  
be  
performed  
by the  
Cotton  
Board.

2. The services which may be performed by the Cotton Board referred to in paragraph (a) of subsection (1) of the preceding section are—

- (a) any measures calculated in their opinion to be conducive to the maintenance or extension of export trade in the industry, including advertising and the giving of demonstrations and instruction with respect to the use of products of the industry;
- (b) research and experiments in matters relating to the manufacture of products of the industry, and the promotion and encouragement of such research and experiments by financial assistance or otherwise;
- (c) research and investigation in matters relating to the consumption of products of the industry, and the promotion and encouragement of such research and investigation by financial assistance or otherwise;
- (d) the collection and publication of statistics and other information relating to the industry; and
- (e) negotiation with any person in respect of any matter appearing to them to affect, or to be likely to affect, the industry.

Contribu-  
tions by  
cotton  
spinners.

3.—(1) For the purpose of raising sums to meet the expenses incurred by the Cotton Board in performing such services as aforesaid and their administrative expenses, and of providing for the raising at the same time of such sums payable to the Empire Cotton Growing Corporation as would but for this Act be payable under the Cotton Industry Acts, 1923 to 1938, there shall be paid to the Cotton Board by every cotton spinner, in respect of every purchase of cotton made by him or for his account whilst this subsection is in force, a contribution at the rate hereinafter mentioned.

(2) The rate of any such contribution as aforesaid shall be five pence for every hundred pounds, or fraction of one hundred pounds, of the gross weight of the cotton purchased, or, in the case of cotton purchased during a

period in respect of which the Board of Trade have by order prescribed a lower rate, that lower rate.

An order made by the Board of Trade under this subsection may be varied or revoked by a subsequent order so made.

(3) The amount of any such contribution as aforesaid may be treated by the cotton spinner as an addition to the cost of the cotton, and shall, subject to the provisions of subsection (5) of this section, be recoverable by the Cotton Board from the cotton spinner as if the contribution were a simple contract debt due by the cotton spinner to the Cotton Board and payable on the date on which payment becomes due for the purchase in respect of which the contribution is payable.

(4) Every cotton spinner shall from time to time, on being so required by notice in writing given by the Cotton Board, render to them within the time specified in the notice, not being less than thirty days from the date on which notice is given, such full and accurate accounts as are necessary to show the amount from time to time payable by him in respect of contributions under this section, and if any cotton spinner fails to comply with the requirements of any such notice within the time therein specified, he shall be guilty of an offence and shall be liable on summary conviction to a fine not exceeding ten pounds for every day during which the default continues, and any fine imposed under this subsection shall (subject to the provisions of section five of the Criminal Justice Administration Act, 1914) be paid to the Cotton Board.

4 & 5 Geo. 5.  
c. 58.

(5) The Cotton Board may make arrangements with the Liverpool Cotton Association, Limited, and the Manchester Cotton Association, Limited, and with any other body, or with any of them, for the collection by the members of that association or body of contributions payable under this section by adding the amount of the contributions payable by any cotton spinners to invoices rendered to them by the members of that association or body, and the payment of a contribution by a cotton spinner to a member of an association or body with which such an arrangement has been made shall be a good discharge to the cotton spinner in respect thereof, and the amount thereof shall be recoverable by the Cotton Board

from the person to whom the payment is made as if it were a simple contract debt due by that person to the Cotton Board and payable on the date on which the payment is made to that person.

(6) In this section the following expressions have the meanings hereby assigned to them respectively, that is to say—

“cotton” means raw cotton which has not passed through any process of manufacture and which is in a state suitable for spinning by a cotton spinner;

“cotton spinner” means a person carrying on in the United Kingdom the business of spinning;

“gross weight” means the weight of a bale or parcel of cotton before deducting the weight of draft bands and tares;

“invoice” includes any account, note or memorandum, showing the sum payable in respect of a purchase of cotton for the account of, or in respect of a sale of cotton to, a cotton spinner.

Payment to  
Empire  
Cotton  
Growing  
Corporation.

4.—(1) No contribution shall be payable under the Cotton Industry Acts, 1923 to 1938, in respect of a purchase of cotton in respect of which a contribution is payable under the last preceding section.

(2) The Cotton Board shall pay to the Empire Cotton Growing Corporation a sum equal to one penny in respect of each five hundred pounds, or fraction of five hundred pounds, of cotton comprised in a purchase in respect of which a contribution is payable under the last preceding section. The said sums shall be ascertained and paid at such times and in such manner as may be agreed between the Cotton Board and the said Corporation, or, in default of agreement, as may be determined by the Board of Trade on the application of either of them.

Annual  
report to be  
made by  
the Cotton  
Board.

5. The Cotton Board shall, as soon as may be after the end of each calendar year, prepare and submit to the Board of Trade a report on the discharge of their functions in that year, and the Board of Trade, upon receiving any report submitted to them under this section, shall lay copies of the report before Parliament.

6.—(1) The functions of the Cotton Board for the purposes referred to in subsection (1) of section one of this Act shall cease to be exercisable on such date as His Majesty may by Order in Council appoint. Duration of provisions of this Act.

(2) Subsection (1) of section three of this Act shall cease to have effect on such date as His Majesty may by Order in Council appoint.

(3) Different days may be fixed by Orders in Council made under the preceding subsections for different purposes.

(4) His Majesty may by Order in Council make provision for the dissolution and winding-up, and the disposal of the property, of the Cotton Board.

An Order in Council under this subsection may be varied or revoked by a subsequent Order in Council.

7. Anything required or authorised by this Act to be done by, to, or before the Board of Trade may be done by, to, or before the President of the Board of Trade, any Secretary, Under-Secretary or Assistant Secretary of the Board of Trade, or any person authorised in that behalf by the President. Exercise of powers of Board of Trade.

8.—(1) This Act may be cited as the Cotton Industry Act, 1940. Short title and interpretation.

(2) For the purposes of this Act—

(a) the expression “the industry” means the cotton industry of the United Kingdom;

(b) subsections (2) to (6) of section thirty-eight of the Cotton Industry (Reorganisation) Act, 1939 (which define the activities of which the said industry consists) shall have effect as they have effect for the purposes of that Act, so however that for the purposes of this Act the said subsections shall have effect as if in paragraph (c) of subsection (2) the words “and having reed spaces of not less than eighteen inches” and the words “ribbons, tapes” had been omitted; and 2 & 3 Geo. 6.  
c. 54.

(c) subsection (1) of section thirty-nine of the said Act (which relates to interpretation) shall have effect as it has effect for the purposes of that Act.

## Section 1.

**SCHEDULE.**  

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**CONSTITUTION AND PROCEDURE OF THE COTTON BOARD.***Membership.*

1. The Cotton Board shall consist of twelve members.
2. Of the members of the Cotton Board one (who shall be chairman of the Board) shall be appointed as being an independent person.
3. Of the other members of the Cotton Board one shall be appointed as having special knowledge of the industry and one as having special knowledge of the business of a merchant.
4. The remaining members of the Cotton Board shall be appointed as having respectively special knowledge of—
  - (a) the business of buying and selling cotton fibre;
  - (b) the business of manufacturing rayon fibre;
  - (c) the business of spinning;
  - (d) the business of weaving;
  - (e) the business of finishing;
  - (f) the business of a merchant engaged in the export trade;
  - (g) the interests of operatives employed in the industry in spinning;
  - (h) the interests of operatives employed in the industry in weaving; and
  - (i) the interests of operatives employed in the industry in finishing.
5. The appointment of a member of the Cotton Board shall, subject to the provisions of this Schedule, be for such term as may be determined by the Board of Trade before his appointment, and be subject to such conditions as may be so determined.
6. A person shall be disqualified for being appointed or being a member of the Cotton Board so long as he is a member of the Commons House of Parliament.

7. A person shall be disqualified for being appointed a member of the Cotton Board under paragraph 3 of this Schedule so long as he is carrying on business in the industry or as a merchant, or is acting in the management of any undertaking carried on wholly or in part for the purpose of doing anything which, by virtue of section thirty-eight of the Cotton Industry (Reorganisation) Act, 1939, is to be treated for the purposes of that Act as part of the industry, or for the purpose of the business of a merchant, and if a member appointed under that paragraph commences or resumes carrying on business or acting as aforesaid his office as a member of the Board shall be vacated.

*Capacity and Proceedings.*

8. The Cotton Board shall be a body corporate, with a common seal and power to hold land without licence in mortmain.

9. The Cotton Board may act notwithstanding a vacancy among the members thereof, and at any meeting of the Board three, or such greater number as the Board may determine, shall be the quorum.

10. If at any meeting of the Cotton Board the votes are equally divided on any question, the person acting as chairman of the meeting shall have a second or casting vote.

11. All acts done at any meeting of the Cotton Board shall, notwithstanding that it is afterwards discovered that there was some defect in the appointment or qualifications of a person purporting to be a member of the Board, be as valid as if that defect had not existed.

12. Minutes shall be kept of the proceedings of the Cotton Board, and any such minutes shall, if signed by any person purporting to have acted as chairman of the meeting to which the minutes relate, or of a meeting at which they were read, be evidence of the proceedings at the first-mentioned meeting, and a meeting to which any such minutes relate, shall, unless the contrary is proved, be deemed to have been regularly convened and constituted.

13. Subject to the preceding provisions of this Schedule, the Cotton Board shall have power to regulate their own procedure.

*Officers and servants, offices and incidental functions.*

14. The Cotton Board may appoint a secretary and such other officers, agents and servants as the Board may determine.

15. The Cotton Board may constitute such committees consisting wholly or partly of members of the Board as the Board consider it desirable for the discharge of their functions to constitute.

16. There shall be paid by the Cotton Board—

- (a) to the chairman of the Board and to the members of the Board appointed under paragraph 3 of this Schedule, or to any of them, such remuneration (whether by way of salaries or by way of fees), and to all the members of the Board and any members of a committee of the Board who are not members of the Board such allowances for expenses, as the Board of Trade, with the approval of the Treasury, may determine; and
- (b) to the secretary, officers, agents and servants, of the Board, such remuneration, and on the retirement or death of any of them, to them or their personal representatives or to their dependants, such gratuities as the Board may determine.

17. The Cotton Board shall have an office at which communications and notices will at all times be received, and shall notify to the Board of Trade the address of that office and any change of that address.

18. The Cotton Board may, for the purpose of defraying any of their expenses, borrow money temporarily from bankers or otherwise, but any money borrowed under this paragraph shall be repaid by the Board, together with interest thereon, not later than eighteen months after the day on which the money was borrowed.

19. The Cotton Board may enter into such agreements, acquire such property and do such things, as may in the opinion of the Board be necessary or desirable for the exercise or performance of any of their powers or duties, and may dispose as they think fit of any property acquired by them.

20. The Cotton Board shall keep and publish proper accounts in such form and manner as the Board of Trade may direct.

*Execution and Issue of Instruments.*

21. The seal of the Cotton Board shall be authenticated by the signature of the chairman of the Board or some other member of the Board authorised by the Board to act in that behalf, and of the secretary or some other person authorised by the Board so to act.

22. Any contract or instrument which, if entered into or executed by a person not being a body corporate, would not require to be under seal, may be entered into or executed on behalf of the Cotton Board by any person generally or specially authorised by them for the purpose.



23. Every document purporting to be a document duly executed or issued either under the seal of the Cotton Board authenticated in the manner provided by this Schedule or on behalf of the Board, or purporting to be signed by the secretary or any person authorised to act in that behalf, shall, until the contrary is proved, be deemed to be a document so executed or issued, or so signed, as the case may be.

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